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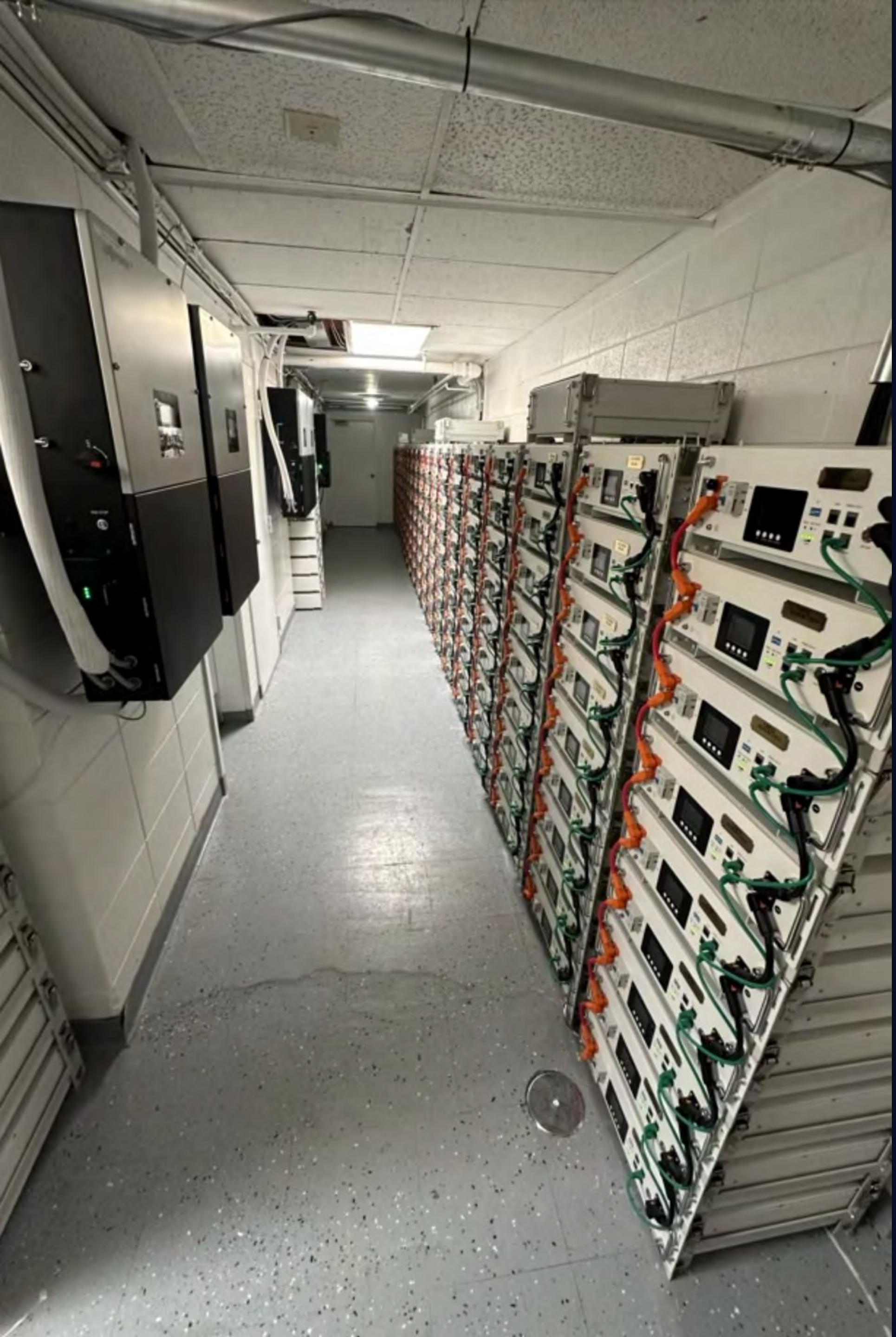
Modern Energy Storage Tax Planning: A Virtual Family Office Due Diligence Framework



VIRTUAL FAMILY OFFICE CONFERENCE · BREAKOUT SESSION

Modern Energy Storage Tax Planning

A Virtual Family Office Due Diligence Framework

How sophisticated advisors evaluate tax efficiency, implementation complexity, capital efficiency, and exit flexibility in modern energy storage structures.

SESSION OVERVIEW

A planning and due diligence lens

This is an educational session — not a product pitch. We will examine why energy storage tax planning is being revisited by experienced advisors, experienced advisors, what has changed since the legacy solar era, and how to determine whether a client warrants further analysis. analysis.

50-MINUTE SESSION | 8–10 MINUTES Q&A | CE-STYLE CONTENT

CONTINUING EDUCATION

Learning Objectives

By the end of this session, attendees should be able to:

01

Differentiate Structures

Explain how modern energy storage strategies differ from legacy solar structures.

02

Understand Mechanics

Describe the role of tax credits, depreciation, depreciation, and carryback mechanics.

03

Assess Due Diligence

Identify implementation and due diligence diligence considerations.

04

Weigh Trade-offs

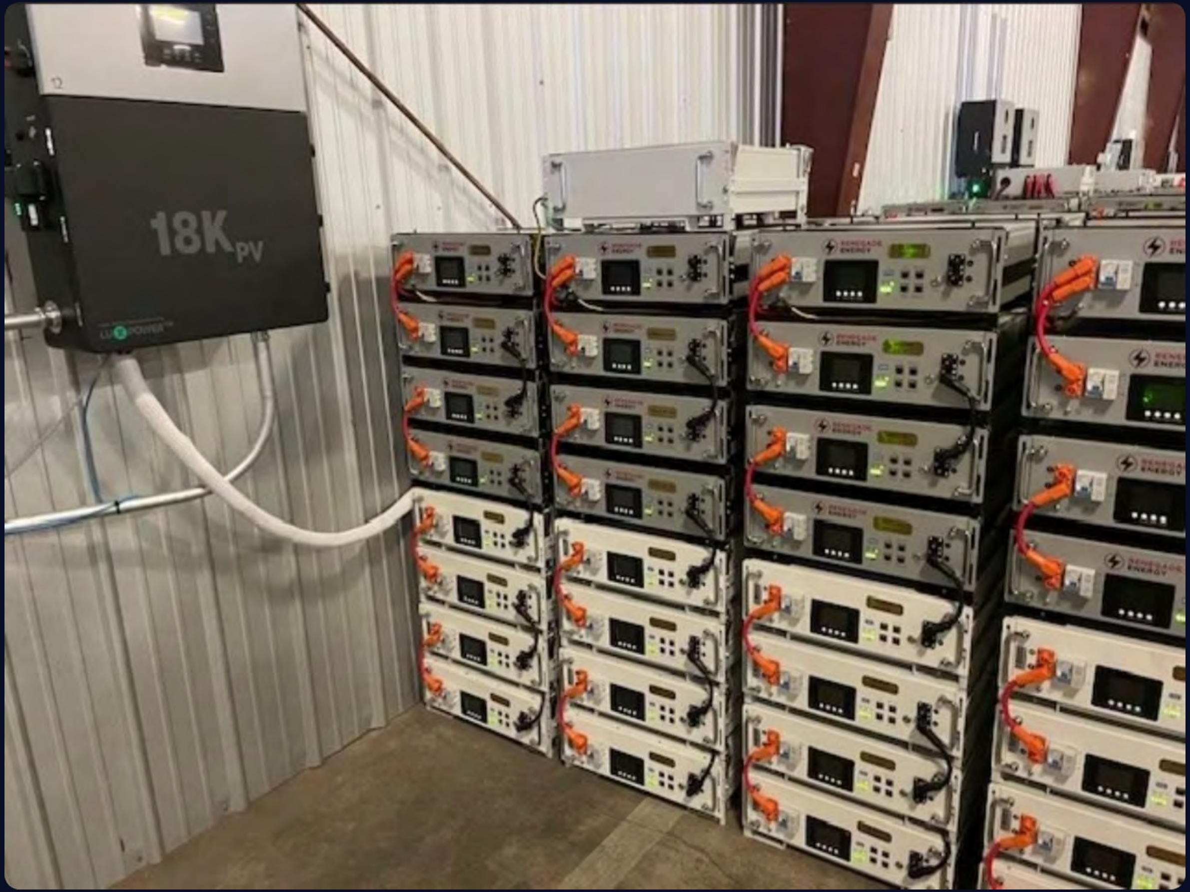
Evaluate the strengths and limitations of the strategy.

05

Qualify Clients

Determine when a client may warrant further analysis.

Educational Disclaimer



⚠ This presentation is educational content only. It is not tax, legal, or investment advice.

- Tax outcomes depend on client-specific specific facts and implementation.
- Advanced planning strategies involve material risks and limitations.
- Independent CPA and legal review is strongly encouraged before any action.

SETTING THE CONTEXT

Why Many Advisors Stopped Paying Attention to Solar

Lower Relative ROI

Returns often trailed competing planning strategies.

Heavy Capital

Significant upfront capital commitments were required.

Long Holds

Extended holding periods limited flexibility.

Material Participation

Passive activity rules complicated benefit utilization.

Better Options

Stronger alternatives were often available.

Key takeaway: Many sophisticated advisors had valid reasons to move away from traditional solar planning.

PRESENTER PERSPECTIVE

Why I Revisited Energy Storage

Historical View

- Useful primarily as a fallback strategy
- Often used only after other opportunities were missed
- Economics were less compelling

Current View

- Worth evaluating alongside other advanced strategies
- Improved economics
- Different implementation structure
- Better fit in certain client situations

The assumptions that caused many advisors to dismiss the strategy have changed.

RECURRING MENTAL MODEL

The Four Evaluation Pillars

We evaluate every advanced planning strategy through the same four lenses. This framework recurs throughout the session.

Tax Efficiency

Magnitude and reliability of the tax benefit.

Capital Efficiency

Benefit generated relative to capital deployed.

Implementation Complexity

Operational and administrative burden.

Exit Flexibility

Ability to unwind or transition the position.

RECURRING MENTAL MODEL

Energy Storage Through the Four Pillars

Applying the framework directly to energy storage reveals where the strategy excels — and where advisors should proceed with eyes open.
eyes open.

Pillar	Assessment
Tax Efficiency	High
Capital Efficiency	High
Implementation Complexity	Moderate
Exit Flexibility	Moderate-Low

The Moderate-Low exit flexibility score, material participation, and loan component are the most common sources of client friction — address them early in the planning conversation.

What Actually Changed?

First-Year Economics

Stronger first-year tax economics improve the comparison set.

Financing Structure

Revised financing reduces upfront capital intensity.

Carryback Liquidity

Credit carryback mechanics can unlock liquidity from prior tax years.

Standalone Storage

Energy storage now qualifies independently — no longer tethered tethered to solar generation.

Why Advisors Are Paying Attention to This Structure

The Cash Flow Timing Is Different

1 Project Acquired

2 Tax Benefits Generated

3 Refunds Received

4 Equipment Payments Made

5 Ongoing Revenue Stream

Many tax strategies require significant capital outlay before benefits are realized. This structure attempts structure attempts to reverse that sequence by generating tax benefits before a substantial portion of the portion of the purchase price is paid.

Potential Sequence:

1. Equipment acquired under payment terms
2. Tax benefits generated
3. Refunds received
4. Refund proceeds used to satisfy payment obligations
5. Remaining economics driven by project performance

This cash-flow timing is one of the most unique aspects of the structure.

KEY CONCEPTS

How The Structure Works

01

Solar assets are acquired in a separate LLC in 2026, with no cash paid at the time of purchase.

02

Accelerated depreciation and federal investment tax credits are used to substantially reduce or eliminate 2026 federal income taxes.

03

Any unused credits are carried back back to prior tax years (generally (generally 2023–2025), generating generating refunds of previously previously paid federal taxes.

04

Solar equipment costs are paid in the year following purchase, primarily using those tax refunds; any remaining balance is typically covered by the client's 2026 tax refund or, if necessary, out of pocket.

05

Initial proformas are designed using the minimum number of units necessary to recapture all available federal tax refunds from the prior three years, based on initial assumptions.

STRATEGY DESIGN PROCESS

How The Project Is Sized

1. Past Taxes Paid (2023–2025)
2. Determine Available Carryback Capacity
3. Size Project To Generate Sufficient ITCs
4. 40% ITC Generated
5. Refunds Recaptured
6. Refunds Used To Satisfy 40% Equipment Obligation
7. 60% Financed By Project Note
8. Project Revenues Service Remaining Debt

Project sizing begins with the client's tax history — not an arbitrary investment amount. The goal is to match the ITC generated to the taxes available for carryback, creating a self-reinforcing structure where refunds satisfy a meaningful portion of the equipment obligation.

ILLUSTRATIVE EXAMPLE · FICTIONAL FIGURES

Example Analysis: $500,000 AGI Household

⚠ Prior-year tax inputs include estimates — verify before finalizing projections

Past refunds recaptured/redeployed (2023-2025):	$ 237,890			
	Base Estimates		*Net After Prior-Year Refunds Applied*	
Estimated Initial Project Funding	$ 239,117	-------------->	$ 1,228	Remaining balance typically covered by 2026 tax refunds, or out-of-pocket if needed
Strategy Design & Coordination Fee	$ 8,967		$ 8,967	Paid upon implementation (current year cashflow)
Covers strategy modeling & coordination; paid separately from tax refunds				
Estimated Net Cash Outlay (After Prior-Year Refunds):			$ 10,195	
Estimated Gross Tax Benefits	$ 359,411	-------------->	$ 121,522	
Estimated Net Tax Benefit	$ 111,327		$ 111,327	
Estimated First-Year ROI (Tax-only)	45%	-------------->	1092%	
Based on tax benefits relative to estimated net cash outlay				

All figures shown are estimates for educational purposes only and assume current federal tax law, subject to final eligibility and implementation details.

Personalized Tax Opinion Letter (Highly Recommended)	$ 2,391

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ILLUSTRATIVE EXAMPLE · FICTIONAL FIGURES

Project Details: $500,000 AGI Client

Project Details				Tax Deductions & Credits		
Units (Minimum of 10; Input)		23				
Due next year (most or all from refunds; 40%)	$	239,117	<-------------->	Total Investment Tax Credits (40%)	$	239,117
Note from solar company (60%)	$	358,676				
Total Solar project Cost	$	597,793	<-------------->	Total Depreciation Deductions (80%)	$	478,234

The additional 10% in credits above the 30% base rate is attributable to the Energy Community Bonus — available for projects sited in projects sited in qualifying energy communities as defined under the Inflation Reduction Act.

Unlike deductions, these investment tax credits uniquely reduce the client's depreciable basis by only one-half of the credits received credits received — preserving a meaningful portion of the depreciation benefit.

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Order of Tax Benefit Utilization

1. Bonus Depreciation
2. Apply credits to remaining tax liability in Year 1
3. Credit Carrybacks to prior 3 years
4. Credit & Deduction Carryforwards

Depreciation

- Above-the-line deduction
- May be limited by Excess Business Loss rules
- May create suspended losses

Investment Tax Credits

- Applied after depreciation effects
- Offset tax liability differently than deductions

Carryback

- Potentially recaptures taxes paid in prior years
- Often one of the most compelling planning features

Carryforward

- Remaining credits may continue forward

Understanding the order of utilization is critical to accurate projections.

ILLUSTRATIVE EXAMPLE · FICTIONAL FIGURES

Order of Deduction & Credit Utilization: $500,000 AGI Client

Estimated Use of Deductions & Credits (Federal Only): **(2026 Est. Fed Tax Due without planning:) $ 102,608**

Tax Year	Bonus Depr.	Total Deductions	Est. Savings	Remaining Fed. Tax	Credits Used	Total Tax Benefit
2026	$ 478,234	$ 467,800	$ 102,608	$ -	$ -	$ 102,608
2027		$ 10,434	$ 3,652	$ 99,269	$ 1,228	$ 4,880
2028		$ -	$ -	Remaning Credits after Y2:	$ -	$ -
2029		$ -	$ -			$ -
2030		$ -	$ -			$ -

Illustrative Application of credits not used in the current year carried back using IRS Form 1045:

Federal Tax Liabilities Paid	(line 22 of tax returns)		Total Refundable after limitation*
2025 | Personal estimate	$ 114,000	-------------->	$ 91,750
2024 | Exact number from filed tax return (Line 22	$ 104,060	-------------->	$ 84,295
2023 | Exact number from filed tax return (Line 22	$ 74,126	-------------->	$ 61,845
	$ 292,186	-------------->	**$ 237,890**

*There is ongoing interpretive discussion regarding whether or not the §38(c)(1)(B) General Business Credit limitation applies to these credits as "specified credits" (see §38(c)(4)(A)(ii)(II)). For purposes of this proforma, it is assumed that this limitation applies to both the current year and prior year tax calculations.

The depreciation deduction is applied first, reducing taxable income. Investment tax credits are then applied against the remaining federal tax liability — these are two distinct and sequential mechanisms.

The carryback analysis uses IRS Form 1045 to apply unused credits against taxes paid in prior years (2023–2025), potentially generating refunds of previously paid federal previously paid federal taxes.

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ILLUSTRATIVE EXAMPLE · FICTIONAL FIGURES

How Project Revenues Support The Structure

Annual & Cumulative Cashflow:		
Net Annual Cashflow	$	2,391.17
5-Year Cumulative Cashflow	$	11,955.86
5-Year Total Financial Benefits (Tax & Cashflow)	**$**	**123,283.01**

LLC Monthly Cashflow:			
Service Agreement Income (Monthly)	$	797.06	(LLC Revenue)
Loan Payments (Monthly)	$	597.79	(LLC Expense)
Net Cashflow (Monthly)	$	199.26	(LLC Profit)

Annual & Cumulative Cash Flow

- Revenue begins once the project becomes operational
- Project revenues are intended to service the 60% project note
- Potential investor cash flow continues throughout the holding period
- Total economics include both tax benefits and operating cash flow

Example Monthly Economics

Revenue

$797 / month

Debt Service

$598 / month

Net Investor Cash Flow

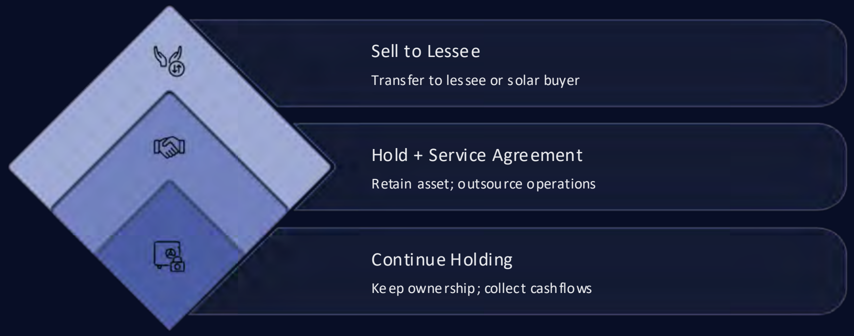
$199 / month

Important Consideration

Project revenues are generated under contractual service agreements. Additional contractual protections, default provisions, and risk considerations will be discussed later in the presentation.
in the presentation.

"The project revenues are intended to service the financed portion of the acquisition, making the strategy more than a pure tax play. All figures are illustrative only."

Potential Exit Options After The 5-Year Recapture Period



Option 1: Continue Holding

- Continue collecting project cashflows
- Ongoing ownership
- Potential future maintenance / insurance costs
- Simple operational path

Option 2: Hold + Service Agreement

- Business continues operating
- Service agreement may reduce taxable gain
- Potentially useful for investors prioritizing tax efficiency

Option 3: Sell to End User/ Solar Company

- Potential liquidity event
- Tax Opinion Letter outlines illustrative framework
- Potential capital gain implications
- Requires planning before implementation

Illustrative capital gain tax impact in the sample proforma: Approximately $60,000. Figures are illustrative only.

The strategy's strongest economics occur in the early years. Exit planning deserves meaningful attention and should be evaluated before implementation rather than after year five.

The goal is not simply maximizing tax benefits — it is understanding the entire lifecycle of the investment.

STRUCTURAL FEATURES SUPPORTING THE ECONOMICS · PART 1

Revenue & Financing Structure

40% Deferred Payment Structure Structure

- Equipment acquired before 40% 40% payment becomes due
- Tax benefits generated before majority of purchase obligation is paid
- Prior-year refunds may be used toward the deferred payment obligation

Contracted Revenue Stream

- Revenue generated through long-term service agreements
- Revenue intended to support the financed portion of the project
- Cashflow begins once the project becomes operational

0% Project Note

- Remaining project balance financed through a long-term note
- No stated interest rate on the project note
- Designed to align debt service with projected revenue generation

The financing structure is intended to align tax benefits, project revenues, and debt service over the life of the investment.

STRUCTURAL FEATURES SUPPORTING THE ECONOMICS · PART 2

Asset & Contractual Protections

Contractual Protections

- Service agreements contain default provisions and contractual contractual remedies
- Providers may retain rights to pursue future service fees following default
- Specific provisions vary by agreement and should be independently reviewed

Equipment Warranty

- Manufacturer warranty extends extends through the operating life operating life of the equipment equipment
- Intended to mitigate equipment failure risk
- Warranty administration handled through the manufacturer

Insurance Coverage

- Replacement-value insurance maintained on project equipment
- Intended to protect against covered casualty events
- Coverage requirements established by the lender

"Multiple contractual relationships are intended to support project operations and revenue generation throughout the holding period." period."

Key IRS Requirements & Planning Considerations

5-Year Holding Period

- Required to avoid credit recapture
- Early disposition can materially impact economics

At-Risk Basis Support

- Personal guarantee on project note
- Economic exposure matters
- Basis support must be maintained

Material Participation

- Operational involvement
- Site visits
- Documentation
- Oversight activities

Additional Considerations

EBL limitations

AMT modeling

Documentation requirements

Entity Type at Sell (Stock Sale?)

The tax benefits depend on satisfying multiple independent requirements.

Lessons Learned from the 48E Transition

Rules Evolved

Newer rules introduced changes that affected real-world world outcomes.

AMT Limitations

AMT-related limitations were encountered in certain cases.

Modeling Matters

CPA modeling proved essential to anticipate utilization.

Project Before You Commit

Projections should be completed before implementation, not implementation, not after.

Key takeaway: Tax benefits should be modeled, not assumed.

Material Participation & Operational Involvement

Material participation is both a tax consideration and a due diligence opportunity.
opportunity.

Site Visits

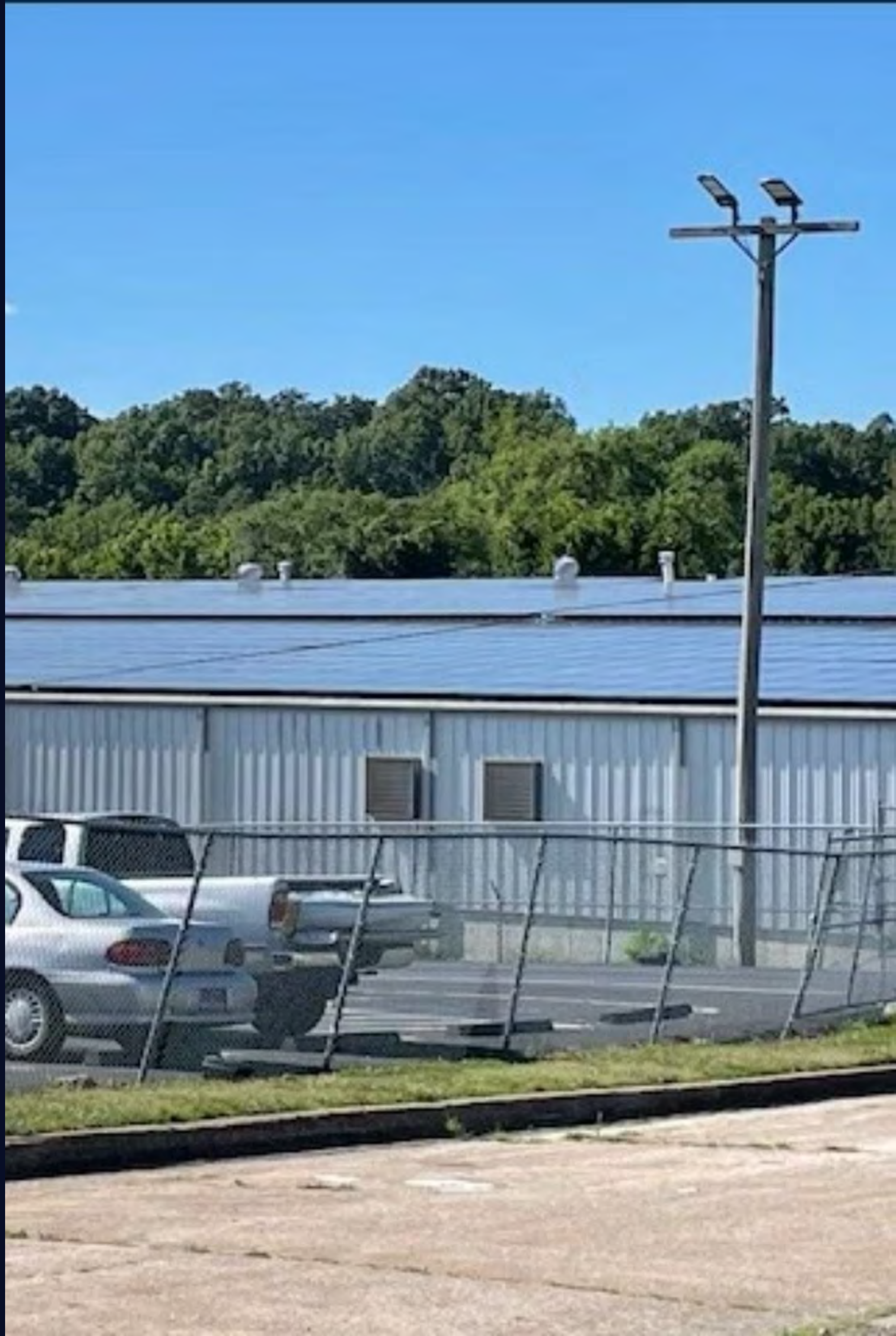
On-site inspection supports both diligence and participation.

Operational Review

Reviewing operations builds substantive involvement.

Vendor Meetings & Documentation

Meetings and records evidence ongoing engagement.



What Can Go Wrong?

A balanced view requires naming the downside scenarios explicitly.

Credit Utilization

Limitations may delay or reduce benefit realization.

AMT Exposure

Alternative minimum tax can constrain outcomes.

Participation Challenges

Material participation may be difficult to sustain or document.

Valuation Disputes

Asset valuation can be contested on examination.

Recapture Risk

Early disposition may trigger credit recapture.

Provider & Documentation

Provider quality and recordkeeping failures introduce risk.

ILLUSTRATIVE EXAMPLE · FICTIONAL FIGURES

Example Analysis: High W-2 Earner with EBL Limitation Limitation (~$2.68M AGI)

Past refunds recaptured/redeployed (2023-2025):	$	1,385,020				⚠ Prior-year tax inputs include estimates — verify before finalizing projections
	Base Estimates			*Net After Prior-Year Refunds Applied*		
Estimated Initial Project Funding	$	1,933,730	--------------->	$	548,711	Remaining balance typically covered by 2026 tax refunds, or out-of-pocket if needed
Strategy Design & Coordination Fee	$	72,515		$	72,515	Paid upon implementation (current year cashflow)
Covers strategy modeling & coordination; paid separately from tax refunds						
Estimated Net Cash Outlay (After Prior-Year Refunds):				$	621,226	
Estimated Gross Tax Benefits	$	3,473,157	--------------->	$	2,088,137	
Estimated Net Tax Benefit	$	1,466,911		$	1,466,911	
Estimated First-Year ROI (Tax-only)		73%	--------------->		236%	
Based on tax benefits relative to estimated net cash outlay						
All figures shown are estimates for educational purposes only and assume current federal tax law, subject to final eligibility and implementation details.						
Personalized Tax Opinion Letter (Highly Recommended)	$	19,337				

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ILLUSTRATIVE EXAMPLE · FICTIONAL FIGURES

Order of Deduction & Credit Utilization: High W-2 Earner with EBL Limitation

Estimated Use of Deductions & Credits (Federal Only): (2026 Est. Fed Tax Due without planning:) $ 902,591

Tax Year	Bonus Depr.	Total Deductions	Est. Savings	Remaining Fed. Tax	Credits Used	Total Tax Benefit
2026	$ 3,867,461	$ 512,000	$ 189,440	$ 713,151	$ 541,113	$ 730,553
2027		$ 2,119,840	$ 779,566	$ 123,025	$ 7,598	$ 787,164
2028		$ 1,235,621	$ 454,397	Remaning Credits after Y2:	$ -	$ 454,397
2029		$ -	$ -			$ -
2030+		$ -	$ -			$ -

Illustrative Application of credits not used in the current year carried back using IRS Form 1045:

Federal Tax Liabilities Paid	(line 22 of tax returns)		Total Refundable after limitation*
2025 | Exact number from filed tax return (Line 22)	$ 888,492	------------->	$ 672,619
2024 |	$ 463,201	------------->	$ 353,651
2023 | Estimate	$ 470,000	------------->	$ 358,750
	$ 1,821,693	------------->	**$ 1,385,020**

*There is ongoing interpretive discussion regarding whether or not the §38(c)(1)(B) General Business Credit limitation applies to these credits as "specified credits" (see §38(c)(4)(A)(ii)(II)). For purposes of this proforma, it is assumed that this limitation applies to both the current year and prior year tax calculations.

"This example illustrates a high W-2 earner subject to the Excess Business Loss (EBL) limitation. The EBL limitation caps the amount of business losses that can offset non-business income in the current year — any excess is carried forward as a Net Operating Loss (NOL) and utilized in subsequent years (2027 and 2028 in this illustration)."

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details."

When I Would Consider This Strategy

- **Significant Prior Taxes**

  Meaningful taxes paid in carryback years.

- **Current Liability**

  Substantial current-year tax exposure.

- **Appropriate Risk Tolerance**

  Comfort with complexity and illiquidity.

- **CPA Collaboration**

  A supportive CPA available to model outcomes.

- **Active Involvement**

  Genuine interest in operational participation.

BRINGING IT TOGETHER

Key Takeaways

It Has Evolved

Energy storage planning differs meaningfully from legacy solar.

Evaluate, Don't Promote

Disciplined evaluation matters more than enthusiasm.

CPA Collaboration

Modeling with a CPA is critical, not optional.

Implementation & Exit

Both deserve equal planning attention.

Not Every Client

Fit is the exception, not the default.

What the Proforma Actually Tells Us

A proforma is an evaluation tool — not a prediction. It frames the decision rather than guaranteeing an outcome.

The goal of a proforma is evaluation, not prediction. prediction.

- **Estimated Tax Impact Impact**

  Modeled benefit ranges, not not promises.

- **Capital Commitment Commitment**

  Estimated capital required to required to participate.

- **Key Assumptions**

  The inputs the model depends on.

- **Sensitivity Factors**

  How outcomes shift as assumptions change.

Applying The Framework To Real Clients

Potential Candidate Characteristics

Candidate Profile

- Meaningful taxes paid in prior years
- Significant current-year tax liability
- Comfortable with moderate complexity
- Open to active involvement and documentation
- CPA willing to model outcomes
- No clearly superior planning alternative identified

Preliminary Proforma Inputs

- 2023 tax return
- 2024 tax return
- 2025 estimate
- Current AGI estimate
- Filing status
- State of residence

Next Step

Request a preliminary proforma analysis for educational evaluation purposes.

The goal is not implementation. The goal is determining whether further due diligence is warranted.